COURSE

## Cambridge IGCSE Business (0450 / 0264)

# Revenue, costs and profit

**5 Financial information and financial decisions · 4.4 Costs; 5.3 Profit and loss (0450: 5.3 Income statements)**

Revision for 5 Financial information and financial decisions: each firm works it out on its own deals.

| Class | Topic |
|---|---|
| **Cambridge IGCSE Business (0450 / 0264)** | **Revenue, costs and profit** |

THE LESSON

**Setup** 2 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Total monthly costs** | TASK 2 **Fixed or variable** |

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank by profit** | TASK 4 **Average unit cost** | **B2B deal** |

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **More sales or cuts** | TASK 6 **Profit after rise** | **B2B deal** |

**Final questions** 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

A month at the yard.

**Total costs for the month?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Fixed costs, a month | **£8,000** |
| You pay per car | **£17,500** |
| Cars sold | **4 cars** |

METHOD

**Total costs = fixed costs + cars × cost per car**

£8,000 + 4 × £17,500 = £78,000

**Why:** Fixed costs stay the same. Variable costs grow with every car.

## Task 2

ROUND 1

You list your dealership's costs for a month.

**Which two are fixed costs?**

PICK TWO

- ○ Cars bought to sell
- ○ Commission on each sale
- ✔ **Rent on the showroom**
- ✔ **The manager's salary**
- ○ Valeting each car sold

**Why:** Rent and salaries stay the same however many cars you sell.

## Task 3

ROUND 2

Three months: cars sold, the price, and total costs.

**Order by profit, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **10 at £9,000, costs £70,000**
2. **6 at £15,000, costs £75,000**
3. **20 at £5,000, costs £90,000**

**Why:** Profit: £20,000, £15,000, £10,000. The most revenue made the least profit.

## Task 4

ROUND 2

Cost of each car sold.

**Average cost per car?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Fixed costs, a month | **£2,500** |
| Variable cost per car | **£9,500** |
| Cars sold | **5 cars** |

METHOD

**Average cost = fixed costs ÷ cars + variable cost per car**

£2,500 ÷ 5 + £9,500 = £10,000

**Why:** Each car carries £500 of the fixed costs.

## Task 5

ROUND 3

Each car adds £400 (price minus cost); you sell 15 a month. Sell 5 more, or cut fixed costs £1,500?

**Which raises profit more, and why?**

PICK A OR B AND GIVE A REASON

- ○ Cut fixed costs by £1,500
- ✔ **Sell 5 more cars**

**Why:** 5 × £400 = £2,000, more than the £1,500 saved.

## Task 6

ROUND 3

Costs are going up.

**Profit after the rise? Minus allowed.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Sales | **£100,000** |
| Variable costs | **£45,000** |
| Fixed costs | **£15,000** |
| Variable costs rise by | **10%** |

METHOD

**Profit = sales – variable costs after the rise – fixed costs**

£100,000 – £45,000 – 10% (£4,500) – £15,000 = £35,500

**Why:** The rise adds £4,500 to variable costs.

# Final questions

**6**
questions for each pupil

**159**
Level 2 Business questions

**11**
of them on revenue, costs and profit

**The game draws 6 questions on this topic.**

1 A dealership earns revenue of £86,000 and has total costs of £68,500 in a trading period. What is its profit?
**£17,500.**

2 A vehicle retailer has sales revenue of £150,000 and cost of sales of £90,000. What is its gross profit?
**£60,000.**

3 A showroom has fixed costs of £11,500 and variable costs of £37,500 for a month. What are total costs?
**£49,000.**

4 A showroom expects £72,000 sales revenue and wants to make £23,000 profit in a month. What is the highest total cost consistent with that target?
**£49,000.**

5 A used-car retailer earns £95,000 sales revenue and £33,000 gross profit. What was its cost of sales?
**£62,000.**

6 A dealer initially expects £70,000 revenue and £66,000 total costs. It then refunds £5,000 of sales while costs stay unchanged. What is the revised result?
**A £1,000 loss.**

7 A dealership's statement of financial position lists an unpaid bank loan. How should the loan be classified?
**As a liability.**

# Final questions

**8** A campaign leads to the sale of six vehicles at £14,500 each. What is sales revenue?

**£87,000.**

**9** Revenue is £84,000 and cost of sales £54,000. A supplier discount cuts cost of sales by 10%; revenue is unchanged. What is the new gross profit?

**£35,400.**

**10** Operations has a total cost budget of £56,000, including £9,500 of fixed handling costs. How much can be spent on variable purchasing costs?

**£46,500.**

**11** Revenue = selling price × quantity sold. A dealer sells 14 vans at £21,000 each. Using the formula, what is its van revenue?

**£294,000.**